Serious allegations of fraud by way of diversion, round-tripping (where funds are transferred from one country to another and transferred back to the country of origin for money-laundering or tax evasion) and siphoning of funds against DHFL, its promoters and directors started appearing in the media in January 2019. In the light of these developments, the seven largest lenders of DHFL—State Bank of India, Bank of Baroda, Bank of India, Canara Bank, Central Bank, Syndicate Bank and Union Bank—got together and appointed Alvarez & Marsal as the agency for special monitoring and KPMG as auditors for a special review audit of DHFL from April 2015 to December 2018; the period was later extended to February 2019. In October that year, the lenders classified DHFL as a "red-flagged account" based on early warning signals such as the delay and default in payment to banks, invocation of bank guarantees, resignation of key personnel and so on.

In its special review audit report, KPMG said DHFL disbursed loans to the tune of Rs 29,100.33 crore to some 35 inter-connected entities and individuals between April 2015 and December 2018. Of this, 29,849.62 crore (including interest) was outstanding. Most of the transactions were in the nature of investments in land or properties. The KPMG report also pointed to "significant financial irregularities, diversion of funds through related parties, fabrication of books to show fraudulent non-existent retail loans, round-tripping of funds and utilisation of diverted amounts for the creation of assets by Kapil Wadhawan, Dheeraj Wadhawan and their associates". In some instances, funds were diverted within a month or round-tripped for investments in NCDs/ preference shares of the promoter group entities; loans were rolled over without the accounts being classified as NPAs; repayments to the tune of several crores did not show up in bank account statements; and moratoriums on principal and interest repayments were extended without apparent justification.

DHFL and its promoters also dis-

THE BIG BANK HEIST

HOW DHFL PROMOTERS ALLEGEDLY MISAPPROPRIATED LOANS

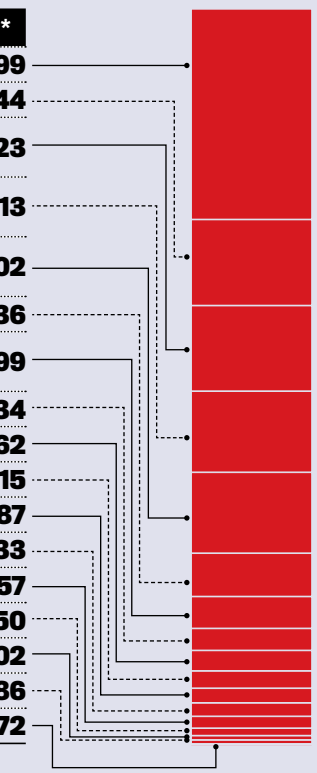
- DHFL had been using Union Bank's credit facilities since 1984. As of July 2020, 17 members in a Union Bank-led consortium had sanctioned Rs 42,871.42 crore to DHFL. However, it started defaulting on the credit facilities since June 2019, and currently its account with the consortium lenders has been classified as NPA (non-performing asset)
- Union Bank, Andhra Bank and Corporation Bank subscribed to DHFL non-convertible debentures (NCDs) amounting to Rs 262 crore between 2016 and 2019. However, the NCDs too were not redeemed
- In its special audit report, KPMG said DHFL disbursed large amounts as loans and advances to a number of inter-connected entities and individuals. Most of the transactions were investments in land or properties

WHAT DHFL OWES THE BANKS

TOTAL OUTSTANDING* ₹34,615 CRORE

BANK	AMOUNT*
State Bank of India	9,899
Bank of India	4,044
Canara Bank (including Syndicate Bank)	4,023
Union Bank of India (including Andhra Bank & Corporation Bank)	3,813
Punjab National Bank (including OBC and United Bank of India)	3,802
Bank of Baroda	2,036
Indian Bank (including Allahabad Bank)	1,499
Central Bank of India	1,034
IDBI Bank	962
Punjab & Sind Bank	815
Indian Overseas Bank	687
Bank of Maharashtra	633
UCO Bank	557
HDFC Bank	350
Federal Bank	202
Karnataka Bank	186
South Indian Bank	72

*As on June 30, 2020; figures in ₹ crore



Graphic by **TANMOY CHAKRABORTY**